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Asia Chips Funding Paths Diverge



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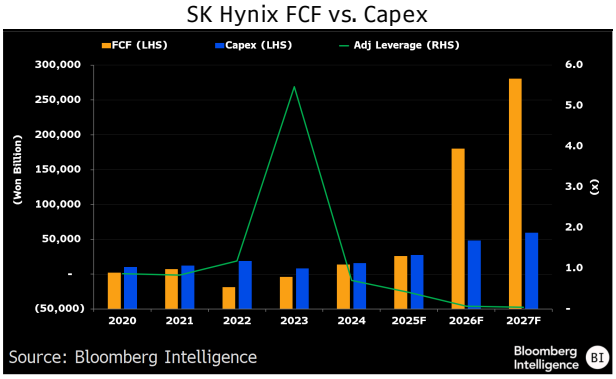
SK Hynix, TSMC Bonds Set to Compress Amid $100 Billion Capex

(Bloomberg Intelligence) -- Robust liquidity and AI-driven demand position SK Hynix, Kioxia and TSMC for stronger credit profiles and potential rating upgrades over the next 12 months, with dollar bond spreads likely to tighten. Asia's chip majors face historic capital expenditure cycles exceeding $100 billion annually in 2026-28, yet funding paths diverge: SK Hynix and Kioxia lean on cash flow strength, with Kioxia targeting a 2027 ADS listing, while TSMC continues strategic issuance at ultra-low coupons to finance domestic and overseas projects. (09/18/26)

1. HBM Cash Surge Lets SK Hynix Skip New Bonds

With capex scaling to about $34 billion in 2026 and $45 billion in 2027, SK Hynix is positioned to sustain disciplined funding, supported by robust operating cash flow and its $26.5 billion Nasdaq ADR listing in July. Explosive HBM profits have driven the company into a net cash position, surging by $40 billion in 1H to $47 billion by end June. Strong liquidity has enabled SK Hynix to deploy excess cash into buying other corporate bonds and authorize a 40 trillion won share buyback program. S&P's recent upgrade to A- with a positive outlook underscores confidence in resilient memory sales and structural shifts from long-term agreements that enhance visibility. Extraordinary profitability has transformed a traditionally debt-dependent cycle into one of cash-rich expansion, leaving spreads supported by scarcity of new supply. (09/18/26)

SK Hynix FCF vs. Capex



2. AI SSD Boom Pushes Kioxia Into Net Cash

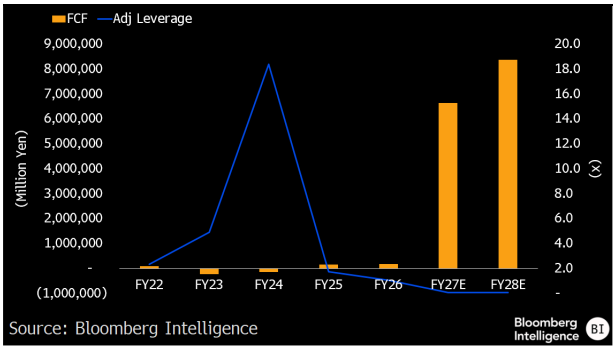
Robust NAND profitability and surging AI SSD demand have lifted earnings, possibly pushing Kioxia into a net cash position by end June as fiscal 2027 Ebitda is projected to jump almost six-fold to 8 trillion yen from just 1.2 trillion yen in fiscal 2026. Capex discipline and stronger cash flow mean further bond issuance is unnecessary after its $3 billion international dollar bond sale in 2025, which stabilized the NAND-driven balance sheet, funded buybacks of high dividend preferred shares and restructured collateralized debt into unsecured loans. Management has since announced an 80 billion yen share buyback program, while plans to list ADS in spring 2027 should further bolster liquidity and reduce leverage. With rising AI demand structurally reshaping the memory market,

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volatility will likely ease over the long term, giving Kioxia financial headroom against future downcycles. (09/18/26)

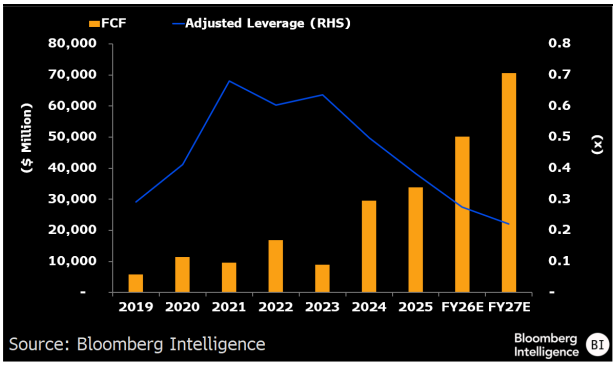
Kioxia FCF vs. Leverage



3. TSMC Taps Local, Cheap Funding Bonds

Despite holding $79 billion in net cash, TSMC continues to issue domestic bonds at ultra-low coupons of 1.9-2.1%, reflecting its A1 rating and near monopoly in advanced nodes. Cheap local borrowing is more cost-efficient than USD markets and preserves cash for dividends and shareholder returns. Domestic issuance also aligns with Taiwan projects, including 3nm/2nm fabs and advanced packaging. Massive overseas expansion -- a $265 billion Arizona commitment, projects in Japan and Germany -- is funded through a blend of localized bonds, subsidies and cash reserves, ensuring currency alignment and geopolitical buffer. TSMC leverages low borrowing costs to optimize capital allocation and maintain liquidity for shareholder yield. Even though supply increases, issuance remains strategic, supporting RV of its dollar bonds. (09/18/26)

TSMC FCF vs. Leverage



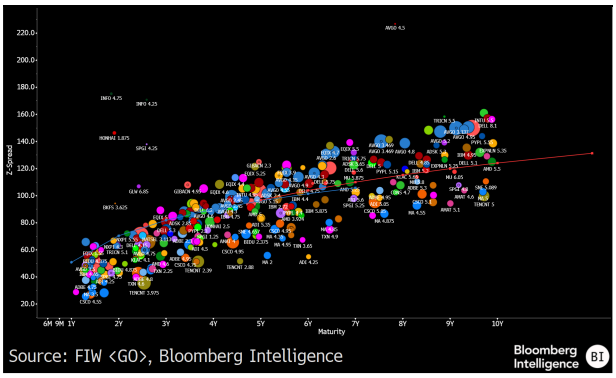
4. SK Hynix Bonds Continue to Tighten From HBM Momentum

Trading near Micron (Baa1/BBB+/BBB+), SK Hynix bonds continue to show scope for spread tightening, as explosive Ebitda growth feeds into strong ratings momentum even after S&P's recent upgrade to A with a positive outlook. Ebitda is expected to quadruple by year end, while free cash flow buffers could reach $121 billion in 2026 and surpass $206 billion in 2027. Elevated AI capex, record buybacks, and shareholder distributions are unlikely to erode credit strength given robust cash generation and rising net cash. Persistent shortages in HBM and DRAM are projected to extend the chip crunch into 2028, sustaining earnings visibility. SK Hynix's superior yields, aggressive capacity expansion, and deep NVIDIA collaboration reinforce its leadership and support further ratings upside, amid competition from Micron and Samsung. (10/05/26)

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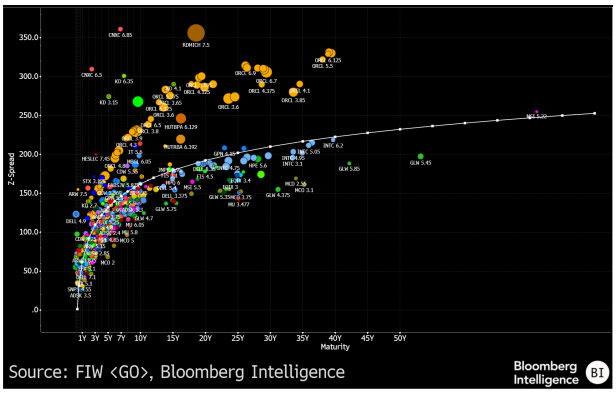
SK Hynix's Relative Value



5. Kioxia Bonds Gain on NAND Edge, Hyperscaler Deals

Kioxia's improving credit profile should further tighten its dollar bonds, supported by AI infrastructure growth and rising enterprise SSD demand. Ebitda is projected to rise nearly sixfold by fiscal 2027 as AI workloads boost storage needs, while strong net cash cushions volatility. The company has begun discussions with hyperscalers on 2027 capacity, leveraging its Nvidia partnership and phased expansion plan to secure demand. This positions Kioxia to capture AI-driven NAND growth, with tightening supply supporting pricing and spreads. Korea's NAND expansion will likely weigh on the market after 2027, but Kioxia's technology edge, partnerships and disciplined rollout reinforce competitiveness. Despite NAND volatility, the AI-driven upcycle and rising eSSD market share strengthen its balance sheet, supporting upgrade prospects and spread resilience. (09/18/26)

Kioxia's Relative Value



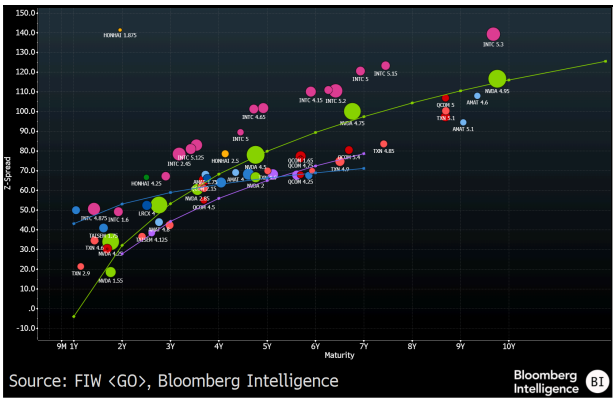
6. TSMC Bonds Positioned to Tighten on AI Chip Leadership

TSMC's dollar bonds likely still have room to tighten, supported by its foundry dominance and near-monopoly in advanced technology that anchors its role at the center of the AI chip cycle. Expansion of the AI accelerator market, projected to grow 16% annually through 2033, underpins demand. With Aa3/AA- ratings, strong credit quality is reinforced by the N2 ramp-up, A16 launch and packaging breakthroughs that cement leadership in AI/HPC supply, boosting profitability and cash flow. Advanced node dominance, robust liquidity and low leverage anchor resilience while global capacity expansion offsets geopolitical risk. Rising capex is supported by cash generation and a $79 billion net-cash balance. Arizona bonds trade tighter than global peers, viewed as strategically vital, subsidy-backed and aligned with US clients. (09/18/26)

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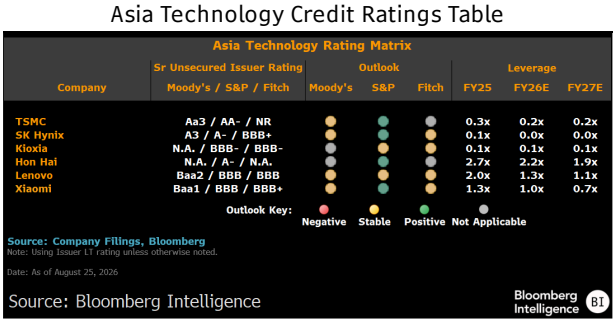
TSMC's Spread Curve vs. Semiconductor Peers



7. AI Supercycle Powers SK Hynix, Kioxia, Lenovo, Hon Hai

With the AI-fueled supercycle extending into 2028, SK Hynix and Kioxia are poised for stronger credit profiles within 12 months despite already gaining in 1H. Consensus has lifted their 2026-27 Ebitda forecasts by at least 200%, with SK Hynix set to more than triple revenue this year and Kioxia targeting 550% growth, both translating into stronger free cash flow, lower leverage and higher net cash amid SK Hynix's record buyback and pledge to return over 50% of cumulative FCF in 2025-27. Kioxia's path depends more on qualitative factors given NAND's cyclicality, but the extended upcycle and rising eSSD share should support its credit profile. Lenovo's scale, inventory buffers and premium sales mix provide resilience against rising memory costs, while Hon Hai's growth is anchored in high-margin AI servers despite global PC shipment softness. (08/27/26)

Asia Technology Credit Ratings Table



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